



Policy Title	EMPLOYEE LEAVE POLICY				
Policy Number	HRD-BEN-002	Version	1.0	Revision	0
Section	BENEFITS	Supersedes	n/a	Effectively Date	04-19-2021

Approved By: *Leanne C. Bagapuro, President*

Date Approved

Policy

Procedures

Forms, etc.

Definitions

References

Contact

History

Description:

Leaves and absences are paid according to the number of leaves earned based on date hired or number of years in service with the company.

Purpose/Rationale:

This Policy serves as a guideline in the calculation of compensation of payment of leaves and absences of employees based on the actual work hours rendered..

Applicability:

This policy applies to all 5L SSASI's officers and employees regardless of rank, position or status.

Failure to Comply:

Any employee who violates this procedure will be dealt with accordingly as per Company policy.

General Guideline:

1. Employee properly notifies immediate superior or authorized Company representative of absence(s) within the required period
2. Employee files sick leave application/form immediately upon report for work; attaches doctor's certification if absent for 2 or more days. For Company shutdown, employee checks available vacation leave credits. If fully exhausted, employee files sick leave.
3. Supervisors approves all leaves and absences filed by an employee prior actual date of leaves and forwards the Leave form (attachment A) to HR for verification of available leaves..
4. Leaves or absences are to be paid or unpaid depending on the number of leaves earned from based on date hired and anniversary.
5. HR updates records and forward approved leave form to payroll.
6. Payroll shall process payment of leaves corresponding to DTR (daily time record) and pay roll cut-off period of actual dates of leaves. Payment of leaves may not be given in advance of coverage period.
7. In the event that the Employee has questions on his/her attendance record, he/she may direct the inquiry to his/her supervisor. If the supervisor could not address the issue, they should redirect the inquiry to HR and Payroll Department. HR and Payroll should close the issue within the current pay period by indicating the correct calculation of payroll in the answer portion of the inquiry form (attachment 2) and effect any adjustments in the next payroll processing.



Classification of Leaves

5L Solutions follows the Philippine Labor Code on provision of Leaves defined as Service Incentive Leave or SIL equivalent to minimum of five (5) SIL leaves after a year of continuous service. SIL may be availed for Sick leaves, Personal leaves, and/or Emergency leave. These absences from work may be paid only with the approved by immediate supervisor and if employee has available leave balance.

A. Absence due to sickness (SL):

The following reasons may be considered as authorized absences:

1. Fever (low or high grade)
2. Profuse diarrhea
3. Severe head, tooth, and body aches, including body malaise
4. Physical incapacitation as a result of personal injury (e.g., strain, sprain, etc.
5. Other moderate to serious medical conditions as determined by capable, qualified and competent medical doctor, physicians, and professionals.

Sick leave may be authorized only if the following requirements are met:

1. Employee notifies by phone or in writing, either by messenger, by representative, or by fax to the immediate superior not only on the first day of absence but also for each day of absence thereafter within the first four (4) hours prior the start of employee's work schedule.
2. Employee observes policy on fit to work clearance as prescribed.
3. Employee presents an authenticated doctor's certificate if absent 2 or more days, except when illness occurs in the office and employee is sent home by company clinic and sickness is certified by in-house company physician.
4. Employee secures prior written notice/approval for extended leave that is previously approved.
5. The employee's reason for absence is proven to be true, satisfactory, warranted, and justifiable.
6. Employee files leave of absence using the appropriate form within two (2) days upon reporting back to work.

B. Absence due to Personal Reason (VL):

Vacation leave may be authorized only if the following requirements are met:

1. Absence due to personal reason shall be scheduled and filed in advance using the appropriate form at least 3 days before actual date of availment to the respective superior.
2. Superior approves only leave request if employee's absence will not affect his line performance or productivity or if he is able to make necessary adjustment in his production plan else leave request shall be deferred.
3. Employee secures prior written notice/approval for extended leave that is previously approved.
4. The employee's reason for absence is proven to be true

Scheduled Leaves

- 1 Employee shall schedule annual VL and take them according to the schedule. Scheduled VL cannot be postponed unless deferred by Department Manager for operational reasons. ≡

- 2 For scheduled VL, employees shall file the required Leave Application at least 1 week in advance. This is to give time for the supervisor to plan the work of the employees going on leave.
- 3 An employee earns a leave upon employment. However, initial leave entitlement may be availed only after the employee's anniversary date and the number of leave credits to be used is computed pro-rated starting from the date of hire as probationary employee up to December 31st of the same year:
- 4 Should an employee apply for more than his leave entitlement, this is classified as advance leave. Advance leave may be authorized, subject to the approval by the Factory Manager. However, any leaves taken in advance that are in excess of employee's available leave credits will be applied to future leave credits or reimbursed to the Company upon employee's separation from service, whichever comes first.
- 5 Unused and earned VL credits are convertible to cash only upon separation from service, except when reason for separation from employment is due to just cause.

C. Absence due to Emergency Reason (EL):

The following are essential situations when employees may avail of emergency leave:

1. Accident or sickness needing immediate medical attention or emergency cases necessitating hospitalization of immediate members of the family that require the employee's presence. Immediate family member as defined here are father, mother and siblings for single and married employees and wife and children as additional family members for married employees.
2. Fire, floods, typhoon, earthquake, and other natural calamities or act of God that make coming to work an extreme impossibility.
3. Man made disturbances (coup plots, riots, etc) which puts the employee in harms way when coming to work.
4. Death of an immediate family member.
5. Other analogous situations as long as the event is emergency in nature. Emergency as defined here are situations that cannot be foreseen nor postponed requiring the employee's presence.

Emergency leave may be authorized only if the following requirements are met=:

- a. A certification from the barangay captain, news clippings, police report, or a copy of the death certificate is required to be submitted upon filing of leave application form.
- b. Employee secures prior written notice/approval for extended leave that is previously approved provided the threat to life or property is continuing or still is in progress.
- c. The employee's reason for absence is proven to be true, satisfactory, warranted, and justifiable.
- d. Employee files leave of absence using the appropriate form within two (2) days upon reporting back to work.

Minimum number of paid leaves given to employees as per DOLE guideline after one (1) or service is five (5) days. However, 5L Solutions provides additional leaves after three (3) consecutive years of service to a maximum of twelve (12) leaves. Leaves may be converted to cash if not used during the current year, Payment of which will be on the following year. Available leaves is non cumulative and will reset on each anniversary dates.

Example of Incentive Program of the Company for an employee hired - January 1, 2015



<u>Dates Aailed</u>	<u>Number of Leaves Earned</u>
January 1, 2016	5
January 1, 2017	5
January 1, 2018	5
January 1, 2019	5+1=6
January 1, 2020	6+1=7
January 1, 2021	7+1=8
January 1, 2022	8+1=9
January 1, 2023	0+1=10
January 1, 2023	10+1=11
January 1, 2024	11+1=12
January 1, 2025 onward fixed at maximum of 12 leaves	

Responsibility:

Accurate recording of time worked is the direct responsibility of every employee.

If corrections or modifications are needed to be made on the daily time record, both the employee and the supervisor must verify the accuracy of the changes by initialing the printed copy of Daily Time Record (DTR). It is the employee's responsibility to ensure the accuracy and completeness of all entries in his/her time record in the TAS.

Definition of Terms

1. Daily Time Record (DTR) – report that show the employee's time IN and OUT logs.
2. Payroll officer – the person located at the JMI Headquarters who process the payroll every pay period. He is also responsible for resolving time and attendance issues raised by the employees.

References

1. Employee Discipline Policy
2. Timekeeping Policy
3. Employee Handbook

Attachment

1. VL Form
2. DTR Form
3. OT Authorization Form

History::

Version 1 – Initial Edition O, April 14, 2021; author: Lydia Cordova